

While you conduct your neighborhood analysis, circling the block like a very persistent (or very lost) salesperson, ask yourself whether the house you want to buy is the best on the block, the worst, or somewhere in between.

Buying the best home on the block might earn you bragging rights but will leave you with fewer potential buyers down the line. The nicest house will be dragged down by the properties in worse condition nearby, so its long-term appreciation rate is likely to be stifled.

On the other hand, the worst home on the block will have an appreciation rate that is bolstered by its fancier and better-maintained neighbors. Future buyers who might not otherwise consider your neighborhood because it's normally out of their price range could be interested in your property when you go to sell. There's also a lot more potential to force appreciation, but even if you don't want to take on the responsibility of a fixer-upper, a "in-between" house is still better than the best one.

Though you should be able to rank a neighborhood's homes by driving around, you can also support your best/worst/in-between conclusion based on the price of those houses. If you're buying a home for \$350,000 in a neighborhood where they usually sell for \$400,000, you're on the right track. If a home's price is \$500,000 in that same neighborhood, not so much. Where could that \$500,000 house possibly go from there? Plus, who would want to buy it down the line, when they could instead look at nicer neighborhoods that are full of half-million-dollar houses?

Just make sure you're not limiting your pool of potential buyers when you do decide to sell. Buying the worst house on the block can be a great approach, and you might even bring the property up to par with your fancy neighbors over time.

Wrapping Up Market Appreciation

When considering appreciation rates, the best anyone can do is make an informed decision based on the concepts above. It is nearly impossible for the average home buyer to predict prices in the short term, but it is reasonable to make high-level assumptions over the long term. Start with the national long-term appreciation rate, adjust that based on your local